Please write clearly in block capitals.

Centre number							Candidate number						

Surname

Forename(s)

Candidate signature

A-level

ECONOMICS

Paper 1 Markets and market failure

Predicted Paper Set B — Hard

Environmental economics focus

Time allowed: 2 hours

Materials

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/1.
- Answer ALL questions in both Section A and Section B.
- Diagrams should be drawn in pencil and fully labelled.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
  - use good English
  - organise information clearly
  - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set B — Hard]

Section A

Answer ALL questions in this section.

Total for this section: 40 marks

Data Response: Carbon Trading and UK Industrial Emissions

Study Extracts A, B and C and then answer all parts of Section A which follow.

Extract A: Carbon Trading and UK Industrial Emissions

The UK Emissions Trading Scheme (UK ETS) launched in 2021 after Brexit, replacing UK participation in the EU ETS. Large industrial emitters must surrender allowances for every tonne of CO_2 released. The carbon allowance price climbed from £50/tonne in early 2021 to £78/tonne in mid-2024. Environmental groups argue the cap is too generous, while energy-intensive manufacturers warn that high carbon prices encourage carbon leakage as production relocates to jurisdictions with weaker regulation.

Source: News reports, July 2024

Extract B: UK Industrial Emissions and Carbon Allowance Prices, 2019–2024

Year	Carbon price (£/tonne)	UK industrial emissions ($MtCO_2$)	Renewable share of generation (%)
2019	22 (EU ETS)	102	37
2021	50	92	40
2022	68	85	42
2024	78	79	47

Source: Department for Energy Security & Net Zero / ICE, 2024

Extract C: Further Commentary

A 2024 CBI survey reported that 41% of energy-intensive UK firms had postponed planned investment in low-carbon production because of allowance price uncertainty. Government modelling suggested that, without the ETS, UK industrial emissions would have been 9–14 $MtCO_2$ higher in 2024.

Source: CBI / BEIS modelling, 2024

0 1 Using Extract B, calculate the percentage fall in UK industrial emissions between 2019 and 2024. Give your answer, as a percentage, to one decimal place.

[2 marks]

0 2 Using a fully labelled supply and demand diagram for tradable pollution permits, explain how a tightening of the cap raises the carbon price. Your answer must include both a labelled diagram AND a written explanation of the economic mechanism.

[4 marks]

0 3 Using the extracts and your knowledge of economics, analyse two ways in which the UK ETS may correct the market failure associated with industrial pollution.

[9 marks]

0 4 Using the extracts and your own knowledge, evaluate the view that tradable pollution permits are a more effective policy than indirect taxation for reducing industrial carbon emissions.

[25 marks]

Section B

Answer BOTH questions in this section.

Each essay carries a total of 40 marks.

Total for this section: 40 marks

Environmental economics poses some of the most significant policy questions of the twenty-first century. Economists debate whether market-based instruments such as carbon pricing and tradable permits are superior to command-and-control regulation in correcting the market failures associated with pollution and other negative externalities of production.

0 5 Explain, using a diagram, how negative externalities of production lead to allocative inefficiency.

[15 marks]

0 6 "Market-based environmental policies are always more efficient than command-and-control regulation." Evaluate this view with reference to recent UK examples.

[25 marks]

END OF QUESTIONS